

along with price, but the overall trend will be upward. Many times, you can tell the volume trend by dividing the pattern in half and estimating which half has higher volume.

Breakout direction. A breakout happens when price *closes* outside one of the trendline boundaries or follows a trendline for an extended time. In the figure, if you extend the top trendline upward, it will intersect price at about 58. That's a long time to wait for a breakout.

When a breakout occurs, I consider the actual breakout price to be the value of the highest peak in the pattern. In the figure, for example, the breakout price is 55.50, or the high at the one-day reversal. Determining the breakout price is one of the challenges of trading a broadening top.

For an example of how to apply the various guidelines, consider the broadening top shown in [Figure 11.2](#). At first glance, it looks like a large megaphone with price trends that generally follow two sloping trendlines. The top trendline slopes upward and the bottom one slopes downward, each intersecting the minor highs or lows at least twice, totaling at least five touches.

Price forms higher highs and lower lows until it breaks out of the chart pattern, closing beyond the line of trend or below turn 5.

The volume pattern generally rises as price moves up and recedes as price moves down. The figure shows this quite clearly. During the rise in mid-November, for example, volume jumped upward as price peaked, then just as quickly receded as price declined.

[Figure 11.3](#) shows a U-shaped volume trend. Volume is higher in September and December, and lower in the intervening months.

Orthodox broadening tops and five-point reversals describe the same type of pattern. They are simply broadening tops that have three minor highs and two minor lows. [Figure 11.3](#), for example, falls into this category. Other than the name, I found no substantial difference between broadening tops, orthodox broadening tops, and five-point reversals.

Some analysts say five-point reversals are bearish indicators, and that the formation predicts a downward breakout. A study of the pattern, admittedly using only 30 samples, suggests this is untrue. Sixteen break out upward